

Teaching Note

Human Resource Planning

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1. Platform Overview

1.1 Game Arena

The gaming arena interface comprises various decision tabs that includes the Market, Demand forecasting, Supply Forecasting, Planning, Implementation, the Decision checklist, Report, and Synopsis. Some sections must be completed first as they have an impact on other areas.

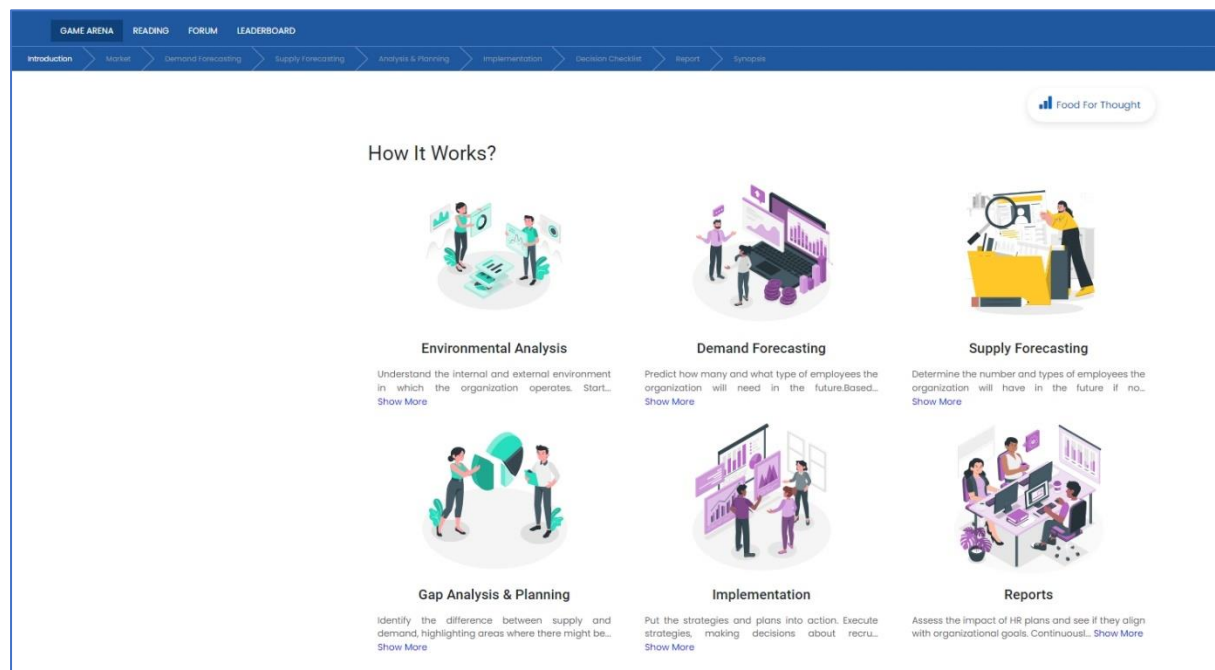


Figure 1 The Gaming Arena

1.2 Readings

This section provides essential materials necessary for participants to actively engage in the game. The main reading material consists of a guide for decision-making, supplemented by optional additional resources chosen by instructors. Moreover, a walkthrough video is accessible, offering in-depth information about the scenario featured in the simulation. This video presents insights into the case scenario, market outlook and the diverse array of decisions required.

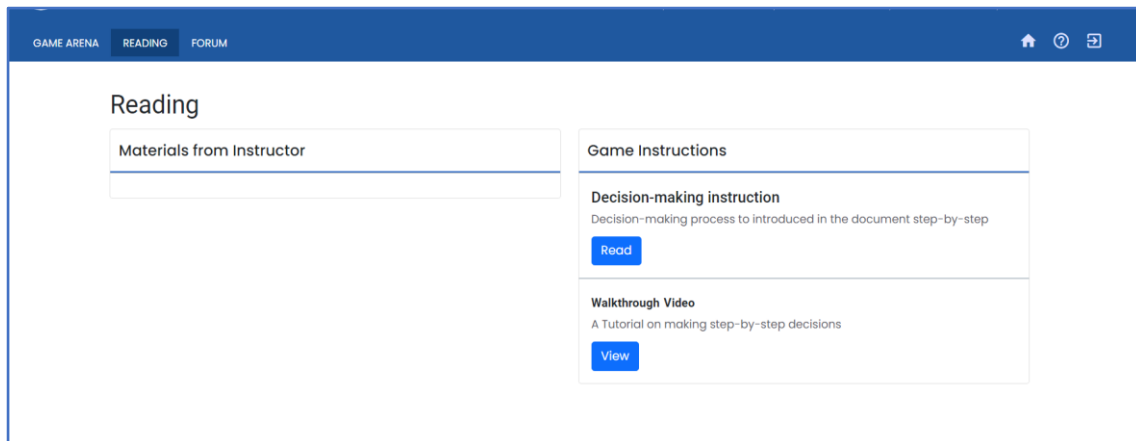


Figure 2 The Reading Section

1.3 Forum

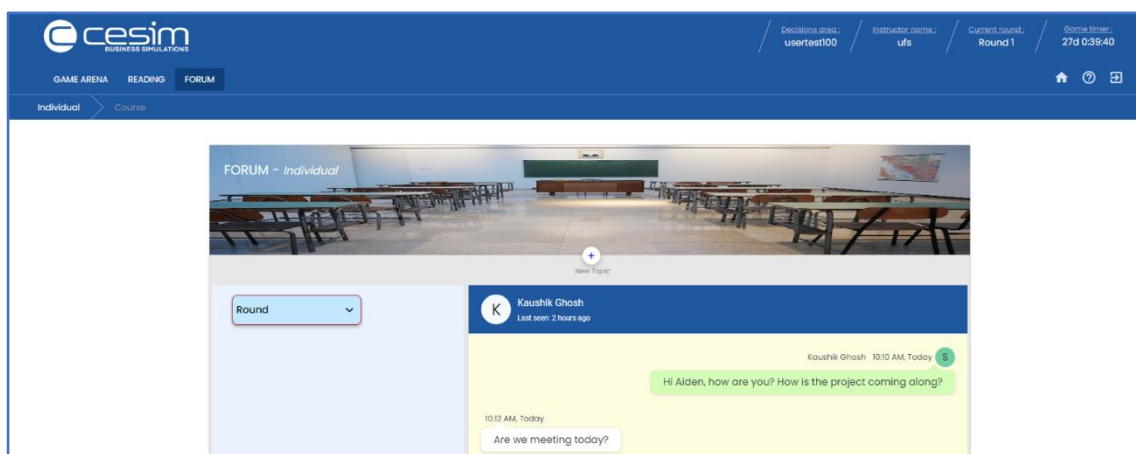


Figure 3 The Forum Section

- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

Trendy Threads India Pvt. Ltd. is a rapidly growing e-commerce company in the fashion and clothing industry, driven by a dynamic, innovative team. Operating in a competitive market, the company focuses on leveraging cutting-edge technologies to provide a unique and customer-centric shopping experience, positioning itself as a forward-thinking brand in online fashion.

In the microsimulation, participants play a crucial role in shaping the company's success by making strategic human resource decisions. These include accurately forecasting human resources demand and supply, selecting effective hiring channels to attract talent and strengthen employer branding, and making informed decisions on compensation, training programs, and HR policies. Success hinges on participants' ability to balance workforce needs, cost management, and employee satisfaction, driving sustainable long-term growth.

1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:

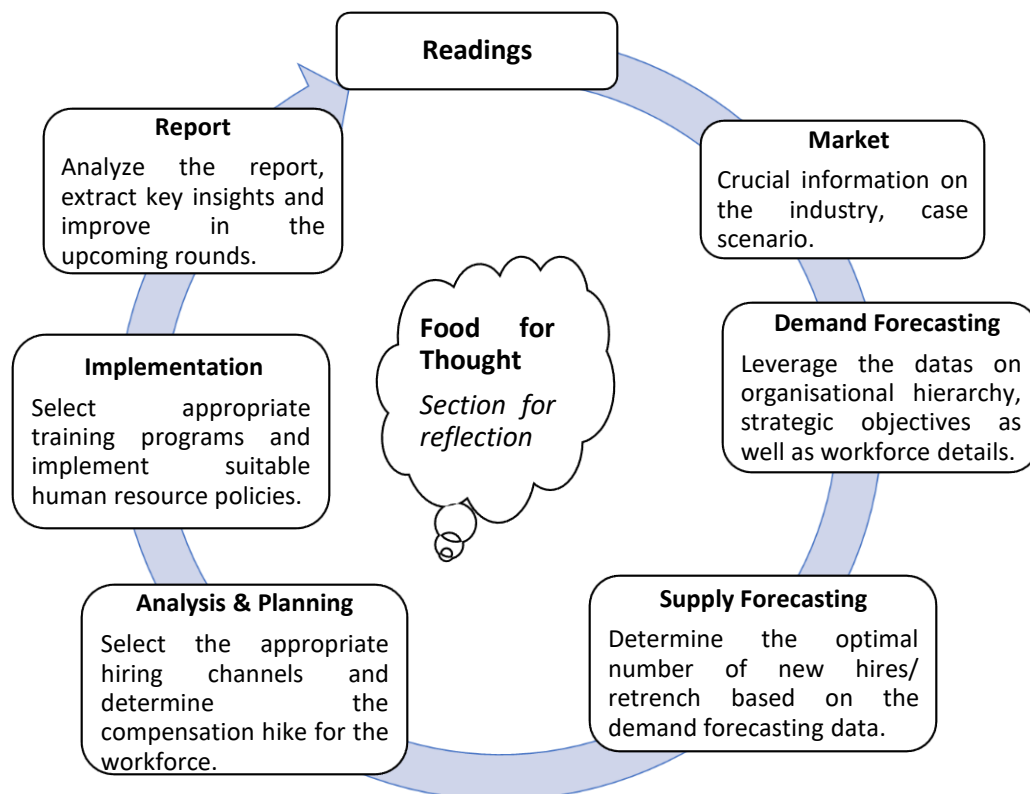


Figure 4 The Sequence of Decision-Making Process

2. Game Arena

2.1 Introduction

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

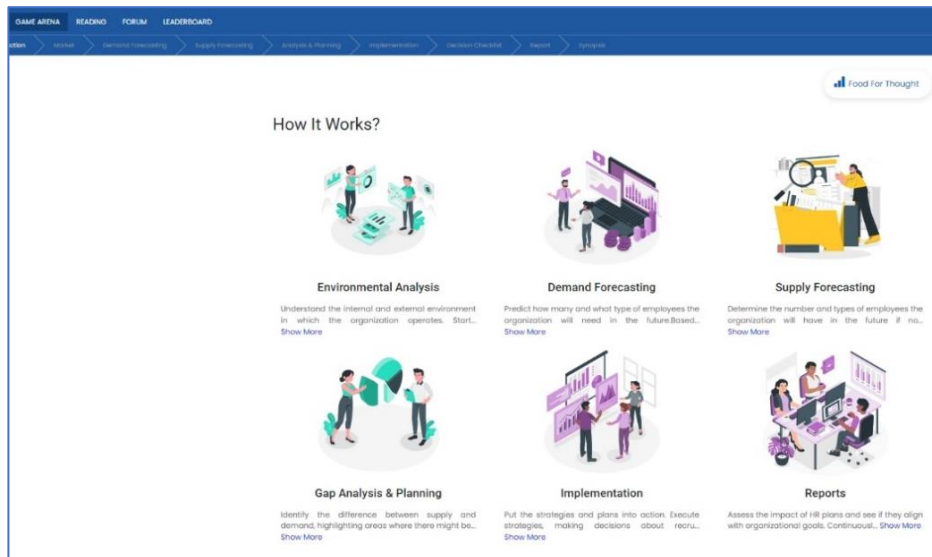


Figure 5 The Introduction Tab

2.2 Food for Thought

This segment provides crucial aspects to consider, offering valuable insights for decision-making.

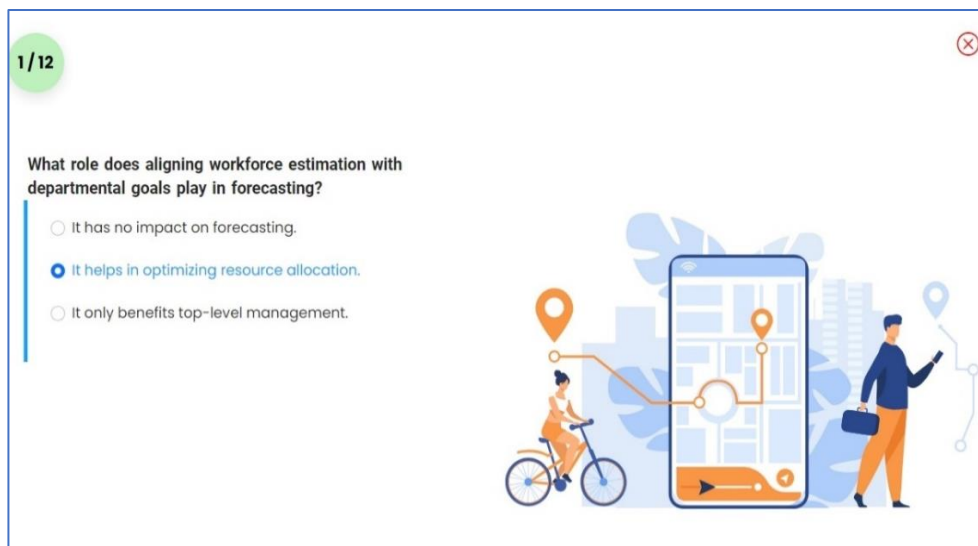


Figure 6 The food for Thought Section

2.3 Market

Prior to commencing the decision-making process, it is essential to carefully examine the "Market" section. This section offers vital information on case scenario, industry overview and the key parameters to consider when making decisions in each tab.



Figure 7 The Market Tab

2.4 Demand Forecasting

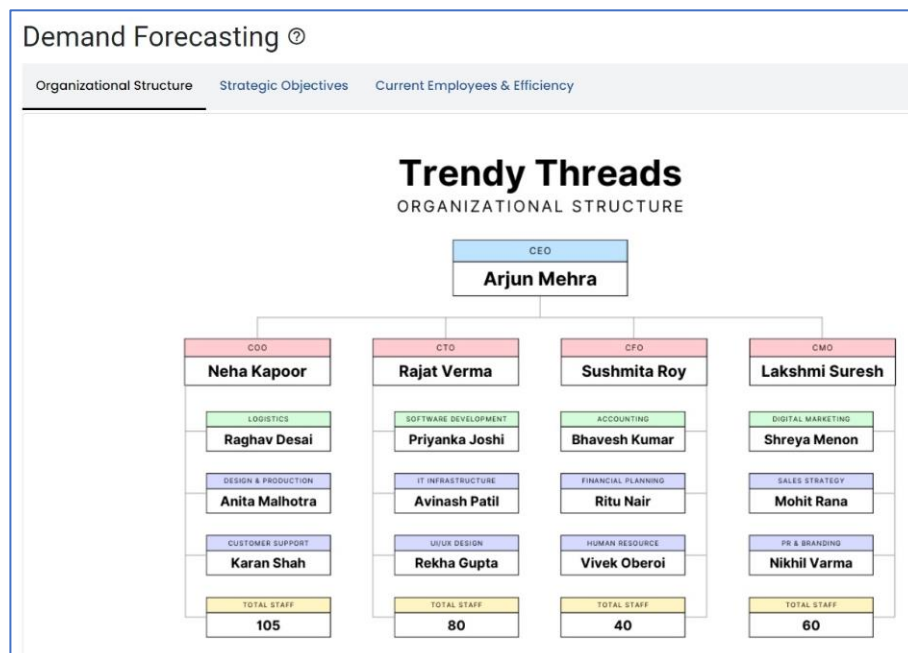


Figure 8 The Demand Forecasting tab in the game Arena

In the Demand Forecasting tab, a comprehensive overview of the organizational structure is provided, along with a clear outline of the company's strategic objectives. Additionally, detailed information about the current workforce, including the total number of employees and their efficiency levels, is included to give participants a holistic view of the resources available.



Figure 9 The Demand Forecasting tab in the Game Arena

The Strategic Objectives page outlines both current and future operational and production plans. It also highlights key technology goals, such as integrating Augmented Reality (AR) for virtual try-ons and implementing AI-driven personalized recommendations for users, all set to be achieved within the next 18 months.

Current Employees & Efficiency page gives details on the number of additional hours required in every department to achieve the strategic objective. An average employee works for 8 hours each day for 220 days. For the administration department, the standard practice is to hire 1 employee for every 10 new hires in the organization, maintaining a 1:10 ratio.



Figure 10 The Demand forecasting tab in the Game Arena

2.5 Supply Forecasting

In the Supply Forecasting tab, participants use data from the Demand Forecasting tab to identify gaps between workforce demand and supply, thereby determining whether to recruit new employees or retrench existing staff. These decisions should be guided by key metrics, including attrition rates, promotion rates, internal transfer rates, voluntary resignations, employee satisfaction scores, and the time required to fill vacant positions.

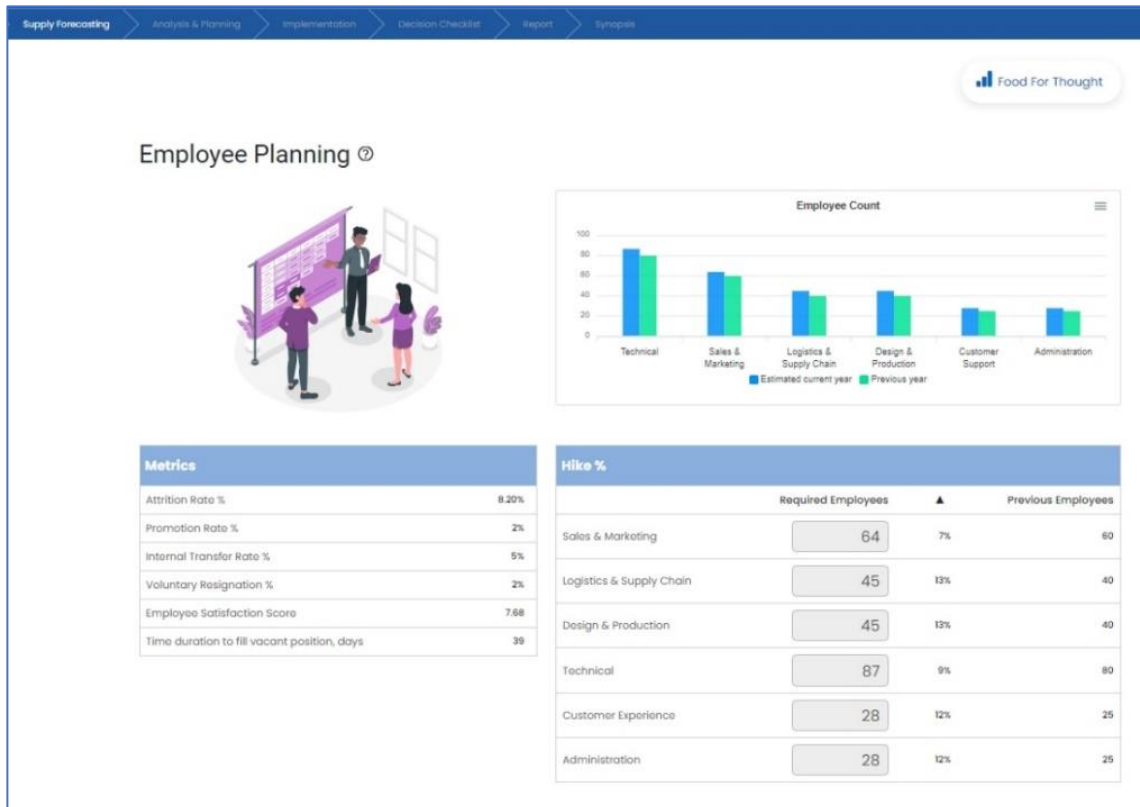


Figure 11 The Supply forecasting tab in Game Arena

2.6 Analysis & Planning

In the Analysis and Planning tab, participants are tasked with selecting appropriate hiring channels to address the human resource gap and recruit new hires. They must assess factors such as cost, benefits, and the ability to meet hiring deadlines. It is essential to choose platforms that provide maximum visibility for job listings, thereby enhancing employer branding. Additionally, these platforms should align with the company's values and effectively attract the target talent pool.

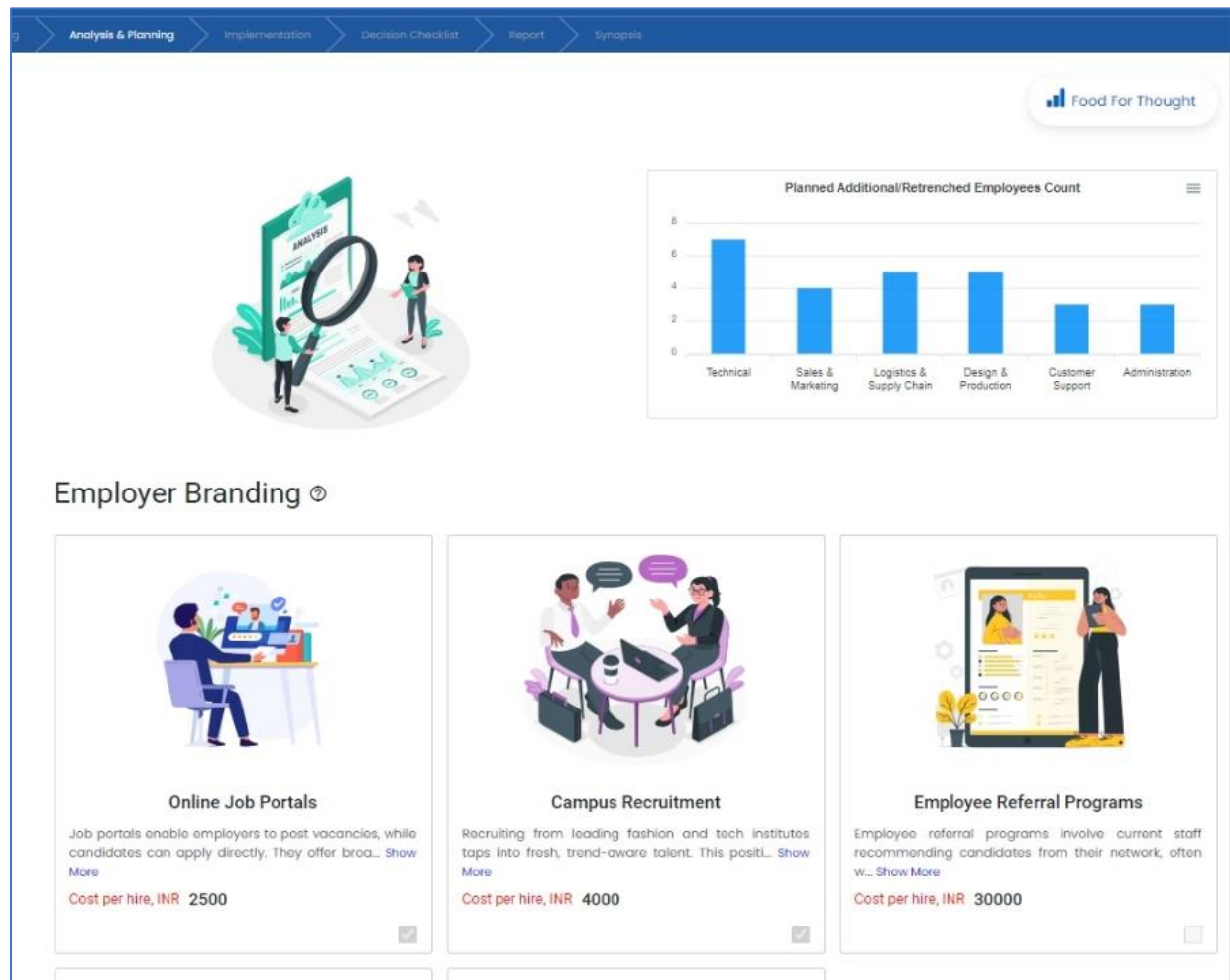


Figure 12 The Analysis & Planning in the Game Arena

2.7 Implementation

In the Implementation tab, participants are tasked with selecting training priorities tailored to the specific needs of each department, with each option having its own distinct effects. Balancing these priorities with cost considerations is crucial. Additionally, participants are responsible for choosing policies that promote long-term employee well-being and satisfaction.

Analysis & Planning **Implementation** Decision Checklist Report Synopsis

Food For Thought

Training Priorities



Digital Marketing Mastery

This training covers the latest trends in digital marketing, including SEO, SEM, content marketing, ... [Show More](#)

Cost per employee, INR 15000

☒



Advanced E-commerce Analytics

Analytics plays a crucial role in e-commerce. This training delves deep into understanding user beha... [Show More](#)

Cost per employee, INR 20000

☐



Augmented Reality (AR) in Fashion E-commerce

As TrendyThreads is looking into AR integrations, this training will help employees understand the b... [Show More](#)

Cost per employee, INR 25000

☐



Customer Service Excellence

☐



Sustainable Fashion and Ethical Production

☐

Figure 13 Training Priorities Decision Area in the Implementation Tab of Game Arena

Policies



Remote Work Flexibility Policy

Providing remote work options, including hybrid models, improves work-life balance, boosts job satis... [Show More](#)

Cost, INR 500000

☐



Continuous Learning and Development Policy

The company provides upskilling programs and reimburses employees for external courses, showcasing c... [Show More](#)

Cost, INR 1000000

☐



Comprehensive Health and Wellness Policy

This policy goes beyond medical insurance, providing mental health support, gym memberships, health ... [Show More](#)

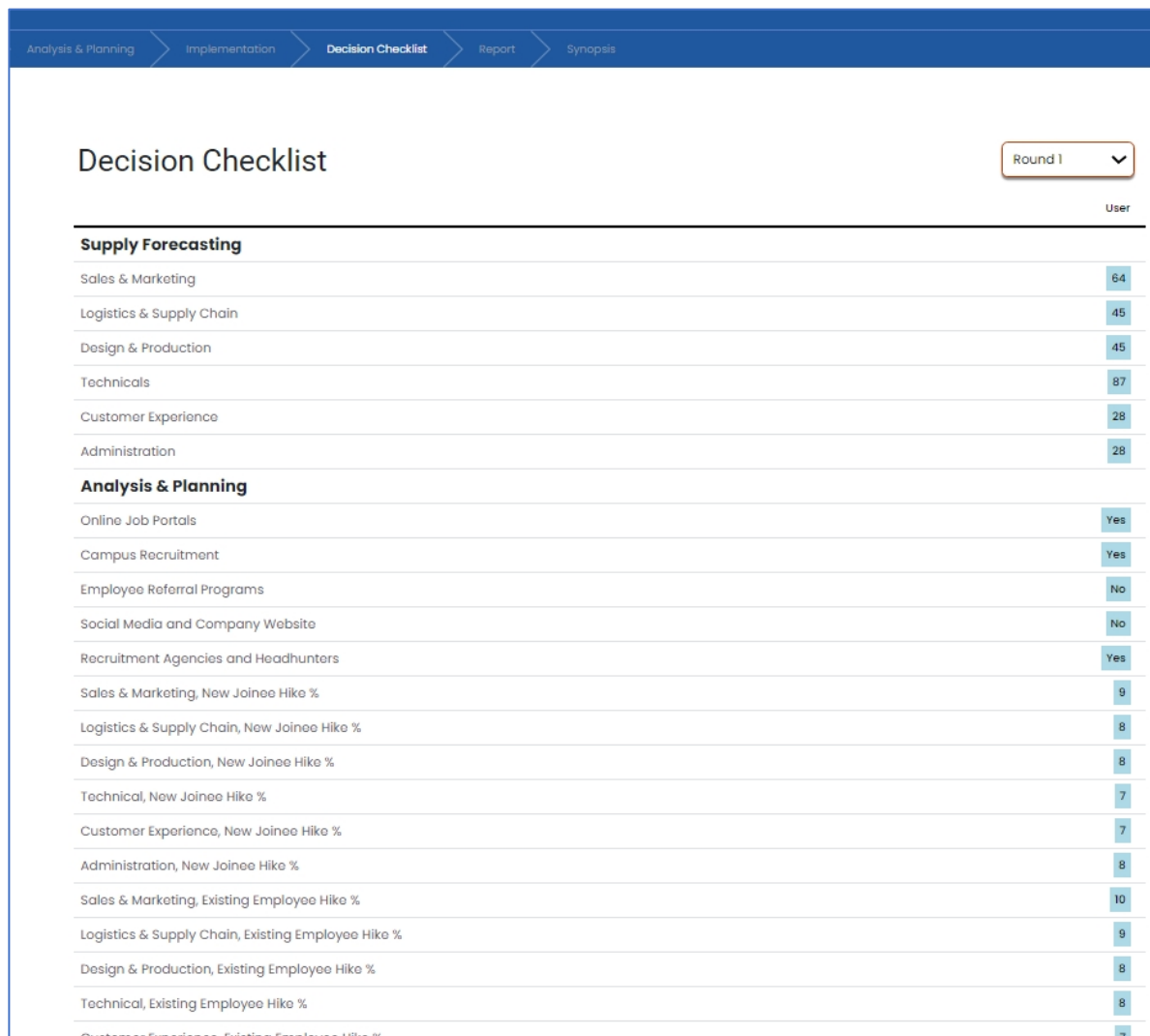
Cost, INR 1500000

☒

Figure 14 Policies Decision Area in the Implementation Tab of Game Arena

2.8 Decision Checklist

The Decision Checklist helps participants review and finalize their decisions. Once decisions are confirmed, they can submit them using the "Submit" option and choose [save and proceed](#). It's important to note that once decisions are submitted and saved, they cannot be altered for that round. This ensures that decisions are carefully considered before finalization, promoting clarity and accountability in the decision-making process.



	User
Supply Forecasting	
Sales & Marketing	64
Logistics & Supply Chain	45
Design & Production	45
Technicals	87
Customer Experience	28
Administration	28
Analysis & Planning	
Online Job Portals	Yes
Campus Recruitment	Yes
Employee Referral Programs	No
Social Media and Company Website	No
Recruitment Agencies and Headhunters	Yes
Sales & Marketing, New Joinee Hike %	9
Logistics & Supply Chain, New Joinee Hike %	8
Design & Production, New Joinee Hike %	8
Technical, New Joinee Hike %	7
Customer Experience, New Joinee Hike %	7
Administration, New Joinee Hike %	8
Sales & Marketing, Existing Employee Hike %	10
Logistics & Supply Chain, Existing Employee Hike %	9
Design & Production, Existing Employee Hike %	8
Technical, Existing Employee Hike %	8
Customer Experience, Existing Employee Hike %	7

Figure 15 The Decision Checklist

2.9 Report

The report section provides the details on the participant's critical thinking abilities, demonstrates how their thought process influenced the outcomes, providing insights into the impact of their decision-making skills.

This section consists of feedback on the performance of the participant based on four metrics.

- **Rigour:** Consistency throughout the decision-making and recommendation.
- **Structuring:** Logical approach of gathering and analysing information
- **Synthesis:** Approach towards interpreting information and making informed decisions
- **Business Judgement:** Ability to evaluate facts, and consider risks and possible implications when making decisions.

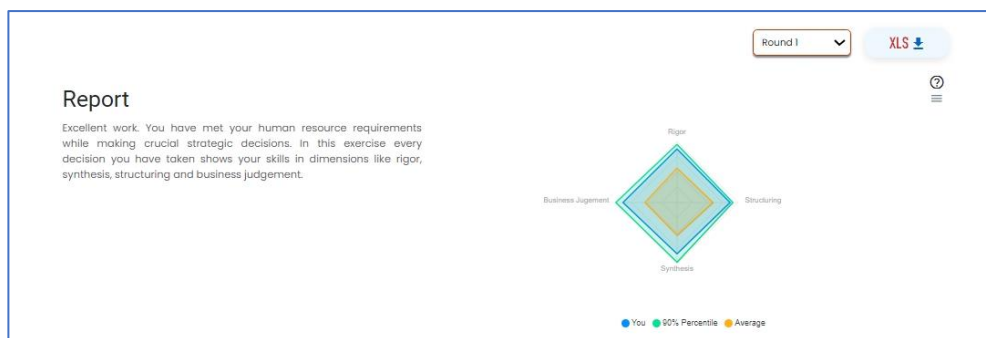


Figure 16 The Report Section



Figure 17 The Report Section

In the Report section, participants can review the employee count across departments based on their supply forecasting decisions. They can also view the overall costs related to hiring, training, and compensation, including employee salaries, contractual employee wages, and expenses associated with branding, training, and policy implementation.

The key performance indicators (KPIs) for evaluating performance are as follows:

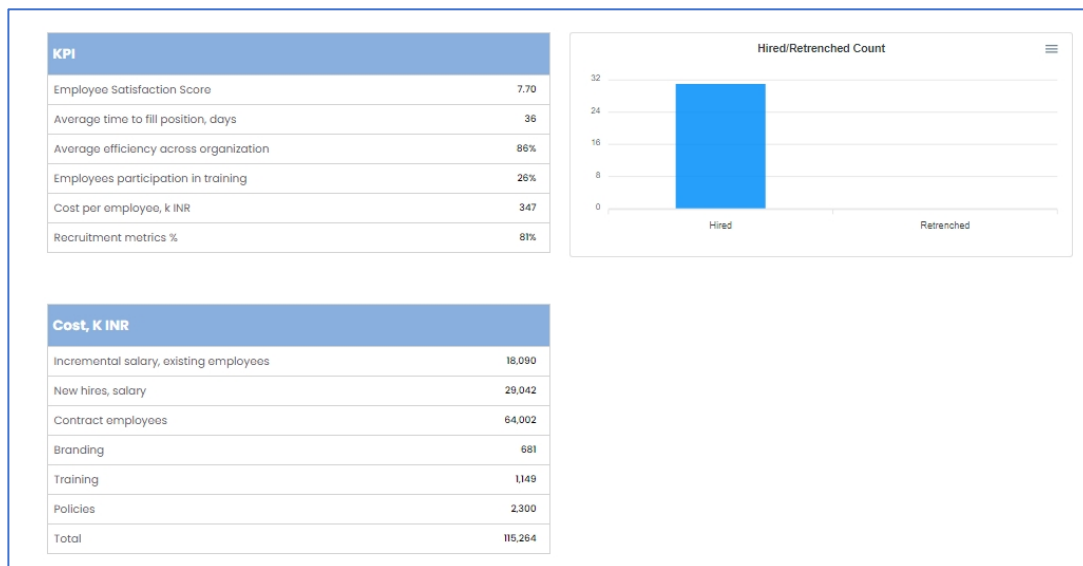


Figure 18 The Report Section

Employee Satisfaction Score

This score reflects overall employee contentment and is influenced by several factors, including compensation hikes, training programs, and implemented policies. A higher satisfaction score indicates that employees feel valued, supported, and motivated. Providing better compensation, tailored training, and thoughtful HR policies leads to improved satisfaction, resulting in higher retention, better performance, and increased morale.

Average Time to Fill a Position (in days)

This KPI measures the average number of days it takes to fill a vacant position, reflecting the efficiency of the chosen hiring channels. A shorter time to fill a position suggests that the recruitment process is streamlined, and the channels selected are effective at attracting suitable candidates quickly. A longer duration may indicate inefficiencies, such as using platforms that do not align with the company's needs or an overly complex hiring process.

Average Efficiency Across the Organization

This KPI represents how well employees are performing relative to the goals of the organization. A higher average efficiency score shows that supply forecasting, hiring strategies, compensation plans, and training initiatives are well-aligned with the organization's needs.

When these elements are effectively managed, employee productivity and overall organizational performance improve. Conversely, inefficient planning in any of these areas can negatively impact overall efficiency.

Employee Participation in Training

This percentage reflects the proportion of employees who have participated in training programs. Higher participation indicates that the training options provided are meeting the diverse needs of different departments. A well-structured training program that addresses specific departmental requirements can improve skills, adaptability, and performance across the organization. Conversely, low participation may suggest a mismatch between the offered training and the employees' perceived needs or schedules.

Cost Per Employee

This metric calculates the total cost associated with each employee, including salaries, benefits, training, and recruitment expenses. It helps in determining how efficiently the organization is managing its workforce in relation to its budget. A high cost per employee may require adjustments to compensation, hiring practices, or training investments, while a lower cost can suggest an optimized balance between expenditure and productivity.

Recruitment Metrics

In the recruitment metrics, the percentage represents the proportion of employees hired through the selected channels. A higher percentage indicates greater recruitment efficiency, with 100% signifying that all positions were filled through the chosen channels. A percentage below 100% suggests that some positions were not filled through the selected channels and may have been filled with contractual employees instead.

A lower percentage indicates potential challenges in the recruitment process, such as ineffective channel choices, mismatches between supply and demand, or unforeseen issues that hindered the full use of the selected methods. This suggests that the recruitment strategy may require refinement or adjustment to enhance overall efficiency.

2.10 Synopsis

The synopsis section offers a concise summary of key decision areas and outcomes, highlighting critical insights including the KPI achieved and strategic directions taken during the simulation, facilitating comprehensive understanding and future planning.

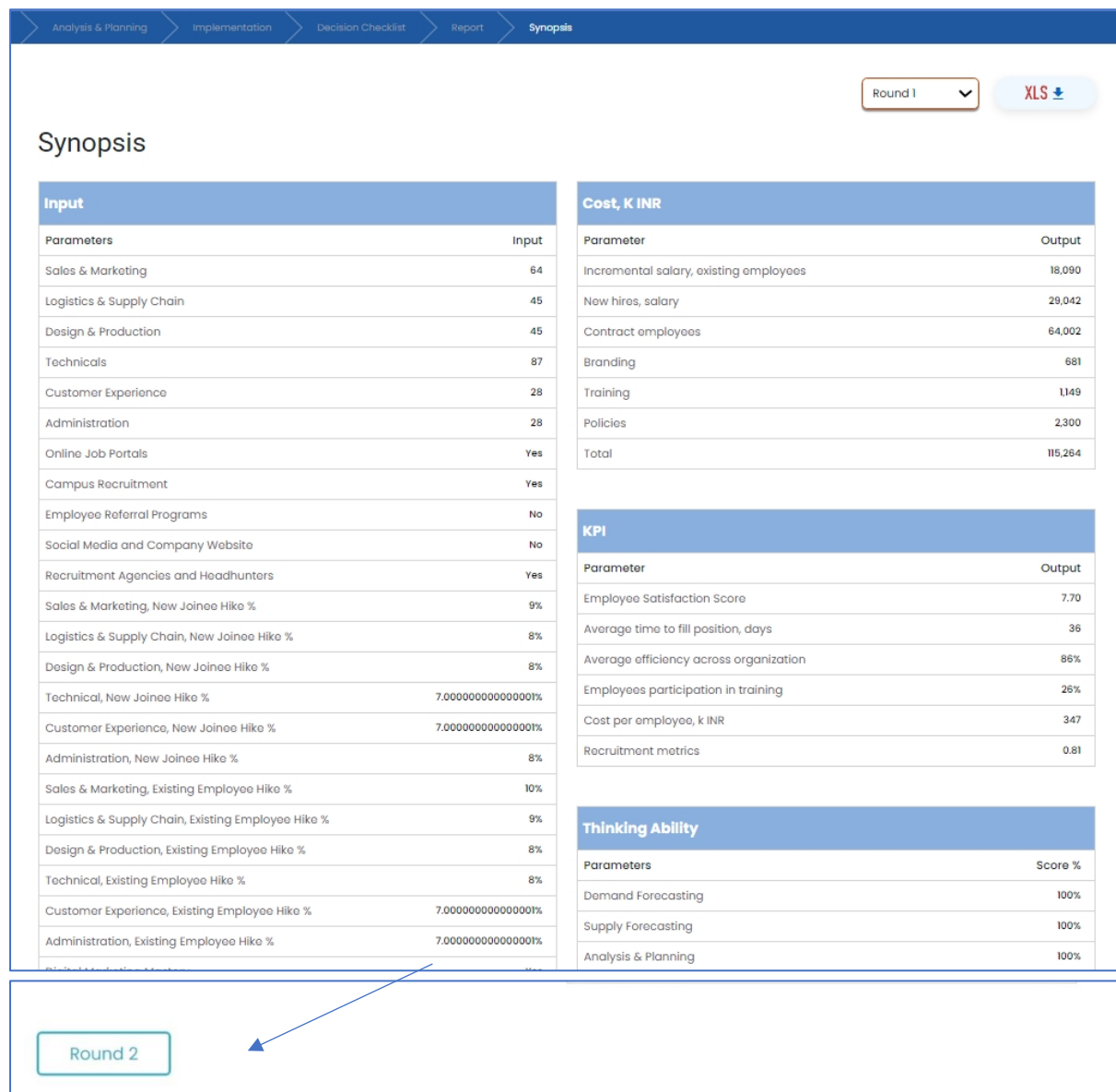


Figure 19 The Synopsis

To proceed to the next round, click on the “next round” at the bottom of the synopsis section. This will redirect participants to the home page, where they can access the next round by clicking on the corresponding card.

2.11 One of the Sample Ideal Solutions

It is essential to acknowledge that numerous combinations can lead participants to achieve the desired outcomes, and the provided solution is just one example for faculty reference and not intended for direct communication to students.

Supply Forecasting	
Sales & Marketing	97
Logistics & Supply Chain	51
Design & Production	60
Technical	116
Customer Experience	40
Administration	37
Analysis & Planning	
Online Job Portals	Yes
Campus Recruitment	Yes
Employee Referral Programs	No
Social media and Company Website	No
Recruitment Agencies and Headhunters	No
Sales & Marketing, New Joinee Hike %	9
Logistics & Supply Chain, New Joinee Hike %	8
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Administration, New Joinee Hike %	7
Sales & Marketing, Existing Employee Hike %	8
Logistics & Supply Chain, Existing Employee Hike %	7
Design & Production, Existing Employee Hike %	8
Technical, Existing Employee Hike %	8
Customer Experience, Existing Employee Hike %	7
Administration, Existing Employee Hike %	6
Implementation	
Digital Marketing Mastery	Yes
Advanced E-commerce Analytics	No
Augmented Reality (AR) in Fashion E-commerce	Yes
Customer Service Excellence	Yes
Sustainable Fashion and Ethical Production	No
Remote Work Flexibility Policy	No
Continuous Learning and Development Policy	No
Comprehensive Health and Wellness Policy	Yes
Inclusive and Diverse Hiring Policy	Yes

The logic for decision making process is as follows:

Supply Forecasting

a) Decision on Number of employees to Hire

The **Demand Forecasting** tab contains historical employee data. Using this data, participants are required to project the future workforce supply in the **Supply Forecasting** tab, taking into account the current employee efficiency and the additional hours anticipated for the upcoming year.

Metrics	
Attrition Rate %	8.20%
Promotion Rate %	2%
Internal Transfer Rate %	5%
Voluntary Resignation %	2%
Employee Satisfaction Score	7.68
Time duration to fill vacant position, days	39

Key parameters to consider include:

Historical Data Analysis:

- Review data from the Demand Forecasting Tab, particularly the Employee Efficiency Graph and insights on Additional Hours Required.
- This helps assess workload trends and identify areas where adjustments may be needed.

Standard Work Metrics:

- Consider that an average employee works 8 hours per day over 220 working days annually.
- This baseline is crucial for calculating productivity, staffing needs, and hike justifications.

Administrative Staffing Norms:

- For the Administration Department, adhere to the established practice of hiring 1 employee for every 10 new joiners.
- This ensures proportional growth in administrative support as the organization scales.

Supply Metrics Evaluation:

- Utilize data from the Demand and supply Forecasting Tab to analyse resource availability and trends.
- This includes evaluating workforce supply against organizational demand to ensure alignment.

Compensation Hike

Deciding the compensation hike percentage for various departments requires a balanced approach that considers fairness, alignment with market trends, and strategic priorities.

Parameters available in the simulation that affect the decision

1. *Department Metrics available in the Analysis & Planning Page*
2. *Factor attrition rate which possible an influencing factor of compensation decision*

Here's a suggested method participants can follow:

Gather and Analyse the Data

- **Previous Year Average Hike (%):** Helps understand historical trends and department expectations.
- **Market Average Hike (%):** Indicates external competitiveness to retain talent.
- **Company Average Hike (%):** Sets the overall budget framework.
- **Department Performance:** Includes contributions to company goals, revenue, or strategic importance.
- **Critical Roles and Skills:** Determine departments with skills critical to business sustainability or growth.
- **Attrition Data:** Identifies areas with high turnover risk due to compensation gaps.

Define Strategic Priorities

- Align hikes with **company goals**, such as growth, innovation, or operational efficiency.
- Focus on retaining key talent in departments critical to the company's future.

Build a Decision Framework

In this simulation, the only performance data available is the **efficiency percentage**, which will serve as the primary metric for performance contribution. To make informed hike decisions, a **weighted scoring system** can be applied based on the following factors:

- **Performance Contribution (40%)**: Assign the highest weight to employee or department efficiency, as it is the primary indicator of productivity and value added.
- **Market Competitiveness (30%)**: Evaluate the current compensation against market benchmarks to ensure salaries remain competitive and attract or retain top talent.
- **Historical Trends (Expectations) (20%)**: Consider past hike patterns to manage employee expectations and maintain consistency.
- **Turnover Risk (10%)**: Factor in attrition rates to address departments or roles with higher turnover risks by providing higher hikes where necessary.

Adjust Hike Percentages

Use the averages as reference points, and adjust based on departmental factors:

- **Departments Exceeding Performance Expectations**: Allocate a hike above the company average.
- **Departments Lagging in Performance but Strategic**: Match the market average to prevent talent loss.
- **Departments with Critical Skills or High Attrition Risk**: Go beyond market averages to retain talent.
- **Underperforming Departments with Low Market Relevance**: Keep the hike below both company and market averages.

Implement and Communicate

- Prepare multiple compensation distribution models to test the impact of different hike percentages on the total budget.
- Ensure compliance with the overall company hike average. Share transparent justifications for department-specific hikes. Highlight how these align with company objectives and market realities.

Calculation Sample

For Instance, to determine the new hike percentage for the **Sales & Marketing** department based on the given data, we can approach the calculation systematically:

A. Proposed Hike for Existing Employees:

Key Considerations:

1. Attrition Rate (8.20%):

- Moderate attrition indicates the need to remain competitive in compensation to retain employees.

2. Previous Year vs. Market Average Salary:

- Current average salary for Sales & Marketing is ₹925,000, which is **3.1% higher** than the market average of ₹897,250.
- This suggests that the department is slightly ahead of the market, but this edge should be maintained given the attrition rate.

3. Company vs. Market Hike:

- The **company average hike (6.3%)** is below the **market average hike (7.5%)**.
- To remain competitive, the hike for Sales & Marketing should lean closer to the market average, especially given the strategic importance of the department.

So proposed Hike for the Existing employees

- **Baseline Hike:** Start with the company average (6.3%).
- **Market Adjustment:** Add a **1% increment** to align closer to the market hike (7.5%).
- **Retention Incentive:** Add **0.5%** to address the moderate attrition rate and ensure retention of skilled employees in this key department.
- **Proposed Hike for Existing Employees = 6.3% + 1% + 0.5% = 7.8%**

B. Proposed Hike for New Joiners:

Key Considerations:

1. Market Positioning:

- **Current Average Salary** for Sales & Marketing (₹925,000) is already **3.1% above the market average** (₹897,250).
- These existing premium positions the company competitively, even without increasing the hike percentage significantly.

2. Market Dynamics:

- Future employees often expect compensation slightly above the **current market benchmark** to make a move.
- A hike above the **7.5% market hike** can be attractive but should balance cost efficiency.

3. Internal Parity:

- Offering a significantly higher hike for future employees can lead to internal dissatisfaction and parity issues with existing staff.
- Ensure that any difference in hikes is justified by skills, experience, or criticality.

Proposed Adjustment:

To remain competitive while attracting new talent:

- **Increase the future hike slightly above the market average**, while being mindful of the current employees' hike.
- A **0.5%–1.0% increment** over the market hike would make the offer attractive without excessively widening the gap.

Recommended Future Employee Hike:

- Market Average Hike: **7.5%**.
- Additional Competitive Edge: **+0.5% to 1.0%**.
- **Proposed Hike for Future Employees = 8.0% to 8.5%**.

3. Implementation – Methodologies

From our experience, we have seen Professors using two different teaching plan options. Option A is for the one who is pressed on time while option B offers a chance to participants to use the module multiple times and learn from their past decisions.

Option A

To begin, the instructor should introduce the module with the walkthrough video, explaining to the students all the different decision-making points involved in the module and how to connect them with one another (with the use of teaching notes provided by Cesim). The instructor should then provide the opportunity for the students to play the module by themselves. The students can play the module within a team or individually. Once the module is over, the instructor can quickly review the decision-making made by the students along with the results they achieved. The instructor can compare the results of different students across the module and then debrief them while driving a discussion in the class.

1. Introduction (5 minutes)
2. Run Simulation (30 to 35 minutes)
3. Debrief (10 minutes)
4. Conclusion (8 to 10 minutes)

Option B

To begin, the instructor should introduce the module with the walkthrough video, explaining to the students all the different decision-making points involved in the module and how to connect them with one another (with the use of teaching notes provided by Cesim). The instructor should then provide the opportunity for the students to play the module by themselves. The students can play the module within a team or individually. The instructor should debrief them in short. The instructor should ask the students to play the module again with the same scenario or if they want to change some parameters that can be done. The students again played the module and completed it.

Once the module is complete the instructor can quickly review the decision-making made by the students along with the results, they achieved across the rounds to compare their progress, trends, and approach towards the module. The emphasis of this plan is to let the students play the module multiple times so they can learn from their previous rounds.

The instructors generally ask students to play the module 3 times, whereas the 3rd time is for inculcating concepts.

1. Introduction (5 minutes)
2. Run Simulation (30 to 35 minutes)
3. Debrief (10 minutes)
4. Run Simulation (30 to 35 minutes)
5. Conclusion (8 to 10 minutes)
6. Run Simulation (self-paced at their own time)
7. Short Presentation & Takeaway.

3.1 Concepts that can be Covered

I Demand Forecasting

Demand forecasting is the process of predicting the future demand for a product, service, or resource based on historical data, market trends, and other influencing factors. In the context of human resource management, it involves estimating the number and types of employees needed to meet future organizational goals and workload requirements. Accurate demand forecasting helps organizations optimize resource allocation, reduce costs, and ensure timely fulfilment of workforce needs.

a. Summary of Demand Forecasting Methods

Category	Method	Description	Example Use Case
Quantitative Methods	Trend Analysis (Time-Series)	Analyzes past data trends to predict future demand.	Seasonal staffing needs in retail.
	Regression Analysis	Studies relationships between variables to forecast demand.	Estimating workforce based on projected sales.
	Workforce Modeling	Uses algorithms/simulations for staffing predictions.	Calculating employees needed for a new project.
	Moving Averages & Exponential Smoothing	Applies smoothing techniques to predict near-term trends.	Short-term workload forecasting.
Qualitative Methods	Delphi Method	Collects expert opinions refined through multiple feedback rounds.	Workforce needs for launching a new department.
	Scenario Analysis	Creates forecasts based on different hypothetical scenarios.	Predicting needs for high vs. low-growth situations.
	Managerial Judgment	Relies on managers' insights and experience.	Anticipating workforce changes based on intuition.
	Market Research	Uses industry trends, surveys, and reports for predictions.	Planning for demand changes due to market shifts.
Hybrid Methods	Combination of Quantitative and Qualitative	Blends data-driven techniques with expert judgment for refined forecasts.	Aligning statistical trends with managerial insights.

b. How Understanding Organizational Structure Enhances Demand Forecasting?

- **Role Clarity:** Analysing the organizational structure helps HR understand the roles, hierarchies, and responsibilities required across different departments.
- **Departmental Needs:** Structure clarifies which areas may need expansion or new roles, particularly in growing departments or for new projects.
- **Career Pathing:** A well-defined structure aids in forecasting the need for promotion paths and succession planning, which impacts internal HR supply.
- **Workforce Allocation:** It helps identify if there are surplus roles or gaps in specific teams, guiding the need to hire or redistribute resources.

c. The Importance of Aligning Demand Forecasting with Strategic Objectives

- **Growth and Expansion Goals:** If the company plans to enter new markets or increase production, HR will need to forecast the demand for additional roles and skills to support growth.
- **Technology and Innovation:** Strategic moves like adopting new technologies or automation may reduce demand for certain manual roles while increasing demand for specialized technical roles.
- **Workforce Planning for Key Projects:** Strategic objectives help pinpoint specific project-related skills that may need to be hired on a short-term or project basis.
- **Alignment with Business Goals:** Aligning HR demand with strategic goals ensures that the organization has the right people in place to drive business success.

d. Reviewing Current Employees in Demand Estimation

- **Skills Inventory:** Knowing the current workforce's skill sets allows HR to identify skill shortages and assess where upskilling or external hiring is necessary.
- **Attrition Rates:** Analysing past and current employee turnover rates helps forecast replacement needs and plan proactively for known departures (e.g., retirements).
- **Demographics and Diversity:** Understanding the workforce demographics enables better planning around potential diversity goals and needs for generational balance.
- **Internal Talent Mobility:** Current employees may be candidates for internal promotion or lateral moves, impacting the forecast by potentially reducing the need for external hires.

e. How Analysing Efficiency Contributes to HR Forecasting?

Analysing efficiency plays a crucial role in HR forecasting by providing insights into the current productivity levels and potential gaps within the workforce. Here's how it helps:

- **Identifying Workforce Gaps:** By assessing the efficiency of existing employees, organizations can identify areas where there may be underperformance or skill shortages, allowing for more accurate forecasting of future HR needs.
- **Optimizing Resource Allocation:** Understanding which employees or teams are most efficient helps HR allocate resources more effectively, ensuring that talent is distributed to meet business goals and forecasted demand.
- **Improving Workload Projections:** Efficiency analysis helps estimate the amount of work each employee or team can handle, leading to more precise demand forecasts regarding workforce size, skills, and capabilities.
- **Predicting Future Talent Needs:** Analysing current efficiency levels can highlight areas where additional training or hiring is necessary, ensuring the organization can meet future demands without resource shortages.
- **Enhancing Productivity Forecasting:** Efficient employees or teams can provide benchmarks for expected productivity in the future, helping HR to project the future workforce performance more accurately.

II What is Supply Forecasting

Supply forecasting is the process of estimating the availability of human resources needed to meet future organizational goals. It involves assessing the internal and external workforce supply to ensure that the right number of employees, with the appropriate skills, are available when required. Supply forecasting helps organizations prepare for staffing needs by considering factors like attrition, promotions, retirements, and external labour market trends.

Forecasting the supply of manpower in human resources entails two primary approaches:

- **Internal Supply:** Recruitment of talent from within the organization through promotions, training programs, and lateral transfers.
- **External Supply:** Recruitment of new talent from outside the organization via methods such as job fairs, campus recruitment, hiring experienced professionals from competitors, and engaging unemployed candidates seeking jobs.

In scenarios involving large-scale recruitment, organizations often employ a combination of both approaches. They reward existing employees through promotions and career advancement while simultaneously bringing in external talent with specialized skills not available within the current workforce. External recruitment is often preferred in situations where internal talent cannot meet the organization's needs in terms of numbers or competencies.

a. Metrics to Consider While Making Workforce Decisions (Metrics available in the Game Arena)

When managing workforce planning and taking HR decisions, several key metrics provide valuable insights into organizational health and employee dynamics. Each of these metrics is defined and explained below:

Attrition Rate (%): The attrition rate measures the percentage of employees who leave the organization over a specified period, whether voluntarily or involuntarily. High attrition rates may indicate dissatisfaction, poor work conditions, or better opportunities elsewhere. Low attrition rates suggest stability but may also indicate limited growth opportunities if not accompanied by other positive factors.

Promotion Rate (%): The promotion rate indicates the percentage of employees promoted within the organization during a given period. High promotion rates reflect robust career development opportunities, fostering employee engagement and retention. Low rates could signal limited growth paths, potentially causing disengagement or turnover.

Internal Transfer Rate (%): The internal transfer rate measures the proportion of employees who have shifted roles or departments within the organization over a specific time frame. High rates indicate flexibility and a dynamic work environment with opportunities for lateral growth. Low rates may suggest a rigid structure or limited role diversity, potentially reducing workforce adaptability.

Voluntary Resignation (%) : This metric tracks the percentage of employees who choose to leave the organization of their own accord during a specific period. High voluntary resignation rates may indicate dissatisfaction with management, work culture, compensation, or career growth opportunities.

Employee Satisfaction Score: This is a measure of how satisfied employees feel about their work environment, roles, and overall experience in the organization. It is usually derived from surveys and is expressed as a numerical score or percentage. High scores suggest positive employee morale, engagement, and alignment with organizational goals. Low scores signal potential issues in workplace culture, communication, or management practices that need attention.

Time to Fill Vacant Positions (Days): This metric measures the average number of days required to fill a vacant role; from the time a position is opened to the day an offer is accepted. A shorter duration indicates efficient recruitment processes and a strong employer brand. Extended time frames may reflect challenges in sourcing candidates, high market competition, or a mismatch between job requirements and candidate availability.

b. The Importance of Choosing the Right Recruitment Channel

Channel	Strengths	Challenges
Online Job Portals	Broad reach, high visibility, attracts diverse talent pool, boosts credibility through reputable platforms.	Intense competition, potential for lower candidate fit, requires effective management.
Campus Recruitment	Access to fresh, creative talent; enhances branding as an employer committed to development.	Limited to entry-level roles, high planning and logistics cost.
Employee Referral Programs	Trusted candidates, cost-effective, faster hiring, promotes positive culture.	May limit diversity, relies on employee networks, potential for nepotism.
Social media and Company Website	Modern, approachable; strong employer branding; fosters direct interaction and cultural alignment.	Time-intensive to maintain engagement; requires creative content strategy.
Recruitment Agencies	Specialized talent access, ideal for senior/expert roles; enhances candidate perception of value.	Expensive; less control over the initial stages of recruitment.

III How Training Priorities Impact Employees?

Prioritizing the right training ensures that employees feel empowered and prepared to excel in their roles, directly impacting their performance and engagement. For organizations like TrendyThreads, balancing cost with strategic goals—such as equipping employees for AR adoption or boosting e-commerce analytics capabilities—is crucial to long-term success.

Effectiveness of Training Priorities

Training Program	Key Benefits	Effectiveness
Digital Marketing Mastery	Enhances expertise in SEO, SEM, social media, email marketing, and campaign optimization.	Improves campaign efficiency, equips employees with in-demand skills, fosters innovation.
Advanced E-commerce Analytics	Builds advanced analytics skills, focusing on user behaviour, funnel optimization, and reducing cart abandonment.	Promotes data-driven decision-making, increases efficiency, and directly impacts revenue growth.
AR in Fashion E-commerce	Equips employees with knowledge of AR technology and its application in enhancing customer experience.	Drives innovation, aligns employees with tech trends, boosts customer engagement and satisfaction.
Customer Service Excellence	Develops soft skills, emotional intelligence, and tools for better customer interaction and problem-solving.	Improves customer satisfaction, reduces stress for employees, fosters long-term customer relationships.

IV Impact of Policy Choices

The implementation of workplace policies has a profound impact on employee satisfaction, organizational culture, productivity, and overall business success. Policy choices are interconnected with employee well-being, organizational culture, and market competitiveness. While each policy has its challenges, thoughtful implementation and strategic investment ensure significant long-term benefits for the organization and its workforce.

Policy	Key Benefits	Challenges	Overall Impact
Remote Work Flexibility Policy	Boosts work-life balance, retention, and cost savings.	May weaken collaboration and requires robust IT infrastructure.	Improves satisfaction and retention but needs balanced implementation to maintain teamwork.
Continuous Learning Policy	Enhances skills, motivation, and agility.	High financial costs; risk of employee turnover post-training.	Creates a growth-oriented culture but requires retention strategies to maximize ROI.
Health and Wellness Policy	Improves productivity, reduces sick days, and enhances retention.	Substantial upfront costs; needs employee engagement strategies.	Supports long-term productivity and satisfaction, despite initial costs.
Inclusive and Diverse Hiring Policy	Fosters innovation, enhances brand image, and fulfills ethical responsibility.	Requires overcoming unconscious biases and adapting company culture.	Strengthens creativity and reputation but demands ongoing effort for inclusivity and cultural shifts.

3.2 Case Customization

The case can be customized based on the faculty's requirements, providing the flexibility to enable or disable specific decision tabs within each module. Additionally, various parameters, such as market, financial statements, etc., can be adjusted to meet specific needs.

3.3 Suggested Discussion Starters

1. How do market trends affect HR demand forecasting accuracy?
2. What is the impact of turnover and attrition on HR demand forecasting?
3. How can AI improve the reliability of HR demand forecasting?
4. What strategies balance internal growth and external recruitment in supply forecasting?
5. How does organizational structure aid HR in talent planning?
6. How should workforce planning adapt to shifts in business strategy?
7. How do efficiency metrics help predict workforce needs?
8. How do recruitment channels influence employer branding and image?
9. How does employee training ensure workforce agility and adaptability?
10. How does training reduce gaps between forecasted and actual workforce needs?
11. How do HR policies like remote work affect workforce planning?
12. How do inclusive hiring policies impact HR demand and supply forecasting?
13. How should HR align salary hikes with workforce forecasts and budgets?
14. How do industry salary standards affect pay adjustments for employees?
15. How does internal equity influence compensation for long-serving employees?
16. What factors are key to offering competitive compensation to new hires?
17. What might a lower recruitment metric percentage indicate, and how can it be improved?
18. What adjustments can be made when the cost per employee exceeds budgetary goals?
19. How does the time to fill a position reflect the efficiency of chosen recruitment channels? What steps can be taken to shorten the time to fill a position without compromising on candidate quality?
20. How can compensation hikes and training programs be tailored to improve employee satisfaction scores?